

BUSINESS AND COMMERCE CODE

TITLE 12. RIGHTS AND DUTIES OF CONSUMERS AND MERCHANTS

CHAPTER 607. PAYMENT CARD SKIMMERS ON MOTOR FUEL METERING

DEVICES

SUBCHAPTER A. GENERAL PROVISIONS

Sec. 607.001. DEFINITIONS. In this chapter:

(1) "Center" means the financial crimes intelligence center established under Chapter 2312, Occupations Code.

(1-a) "Commission" means the Texas Commission of Licensing and Regulation.

(1-b) "Credit card issuer" has the meaning assigned by Section 505.001.

(2) "Department" means the Texas Department of Licensing and Regulation.

(2-a) "Executive director" means the executive director of the department.

(3) "Financial institution" has the meaning assigned by Section 277.001, Finance Code.

(3-a) "Institution of higher education" has the meaning assigned by Section 61.003, Education Code.

(4) "Merchant" means a person whose business includes the sale of motor fuel through motor fuel metering devices to retail customers.

(5) "Motor fuel" and "motor fuel metering device" have the meanings assigned by Section 2310.001, Occupations Code.

(5-a) "Motor fuel unattended payment terminal" means a point-of-sale terminal or kiosk that is operated by a customer

to activate or complete a transaction at a motor fuel metering device through the use of a payment card or a payment by other electronic means.

(6) "Payment card" has the meaning assigned by Section 522.001.

(6-a) "Payment card network" means an entity that directly, or through a licensed member, processor, or agent, provides the proprietary services, infrastructure, and software that route information and data to conduct debit card or credit card transaction authorization, clearance, and settlement, and that an entity uses in order to accept as a form of payment a brand of debit card, credit card, or other device that may be used to carry out debit or credit transactions.

(7) "Service company" and "service technician" have the meanings assigned by Section 2310.151, Occupations Code.

(8) "Skimmer" means a wire or electronic device that is capable of unlawfully intercepting electronic communications or data to perpetrate fraud.

(9) Repealed by Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 12(1), eff. September 1, 2021.

Added by Acts 2019, 86th Leg., R.S., Ch. 863 (H.B. 2945), Sec. 1, eff. September 1, 2019.

Amended by:

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 2, eff. September 1, 2021.

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 12(1), eff. September 1, 2021.

Sec. 607.002. ADMINISTRATION AND ENFORCEMENT OF CHAPTER.

(a) The department shall administer and enforce this chapter.

(b) The commission or the executive director may enforce this chapter, a rule adopted under this chapter, or an order of the commission or executive director as provided by Subchapters F and G, Chapter 51, Occupations Code.

Added by Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 3, eff. September 1, 2021.

Sec. 607.003. FUNDING. The department may solicit and accept gifts, grants, and other donations for purposes of administering this chapter, except that the department may not solicit or accept a gift, grant, or other donation from a license holder as defined by Section 2310.151, Occupations Code.

Added by Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 3, eff. September 1, 2021.

Sec. 607.004. RULES. The commission shall adopt rules for administering this chapter.

Added by Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 3, eff. September 1, 2021.

SUBCHAPTER B. DUTIES RELATED TO USE OF CERTAIN UNATTENDED

PAYMENT TERMINALS

Sec. 607.053. NOTICE OF DISCOVERY OF SKIMMER REQUIRED.

(a) If a service technician discovers a skimmer in or on a motor fuel unattended payment terminal or motor fuel metering device, the service technician or service company that employs the technician shall notify the department and the merchant of the

skimmer in the manner prescribed by commission rule.

(b) If a merchant discovers a skimmer in or on a motor fuel unattended payment terminal or motor fuel metering device or is notified of the presence of a skimmer, the merchant shall, in the manner prescribed by commission rule:

(1) disable, or cause to be disabled, the motor fuel metering device on which the skimmer was discovered;

(1-a) notify a law enforcement agency and the department that a skimmer has been detected; and

(2) take appropriate measures to protect the motor fuel metering device from being tampered with until the department or law enforcement agency arrives and the skimmer is removed.

Added by Acts 2019, 86th Leg., R.S., Ch. 863 (H.B. 2945), Sec. 1, eff. September 1, 2019.

Amended by:

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 4, eff. September 1, 2021.

Sec. 607.054. REPORT TO DEPARTMENT. (a) The department may accept a report of a suspected skimmer from any interested person, including:

(1) a law enforcement agency;

(2) a financial institution;

(3) a credit card or debit card issuer;

(4) a service technician or service company;

(5) a member of the public; and

(6) a payment card network.

(b) Repealed by Acts 2021, 87th Leg., R.S., Ch. 336 (H.B.

2106), Sec. 12(4), eff. September 1, 2021.

Added by Acts 2019, 86th Leg., R.S., Ch. 863 (H.B. 2945), Sec. 1, eff. September 1, 2019.

Amended by:

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 5, eff. September 1, 2021.

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 12(4), eff. September 1, 2021.

Sec. 607.055. INVESTIGATION OF SKIMMER REPORT. (a) On receipt of a report under Section 607.053 or 607.054, the department may conduct an inspection for the presence of suspected skimmers.

(b) The department shall coordinate with law enforcement agencies in conducting an investigation of the report.

(c) The department may inspect, directly or in coordination with a law enforcement agency, the motor fuel metering device that is the subject of the report and any other motor fuel metering device located at the same place of business.

(d) A merchant shall cooperate with the department or law enforcement agency during an investigation of a skimmer discovered or reported at the merchant's place of business and permit the inspection and alteration of motor fuel metering devices at the place of business as necessary.

Added by Acts 2019, 86th Leg., R.S., Ch. 863 (H.B. 2945), Sec. 1, eff. September 1, 2019.

Amended by:

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 6,

eff. September 1, 2021.

Sec. 607.056. CONFIDENTIALITY. (a) Except as otherwise provided by this section, information is confidential and not subject to disclosure under Chapter 552, Government Code, if the information is:

(1) from a report received by the department under Section 607.053 or 607.054; or

(2) prepared or compiled by the department in connection with the report or an investigation conducted under this subchapter.

(b) Information described by Subsection (a) may be disclosed to:

(1) an institution of higher education;

(2) a law enforcement agency;

(3) the center;

(4) a credit card issuer, a debit card issuer, a financial institution that is not a credit card issuer, or a payment card network that may be impacted by the use of a skimmer on a motor fuel unattended payment terminal or motor fuel metering device;

(5) another person if the disclosure of the information is permitted or required by other law or court order;

(6) a trade association representing a financial institution; or

(7) a department contractor or other agent.

(c) The disclosure of information under Subsection (b) is not a voluntary disclosure for purposes of Section 552.007,

Government Code.

(d) On the dismissal or final resolution of a report by the department, information described by Subsection (a) is subject to disclosure under Chapter 552, Government Code.

(e) Notwithstanding Subsection (a), a law enforcement agency or the center may disclose to the public information made confidential by that subsection if the law enforcement agency or the chief intelligence coordinator for the center determines that the disclosure of the information furthers a law enforcement purpose, except that a law enforcement agency or the center may not disclose to the public the identity of a person that submits a report of a suspected skimmer to the department under Section 607.053 or 607.054.

Added by Acts 2019, 86th Leg., R.S., Ch. 863 (H.B. 2945), Sec. 1, eff. September 1, 2019.

Amended by:

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 7, eff. September 1, 2021.

SUBCHAPTER C. ENFORCEMENT

Sec. 607.1021. CIVIL PENALTY. (a) A person who violates this chapter or a rule adopted under this chapter is liable to the state for a civil penalty.

(b) The attorney general or the executive director may bring an action to collect a penalty under this section.

(c) The provisions of Section 51.352, Occupations Code, relating to an action to collect and the amount of a civil penalty under that section apply to an action to collect and the

amount of a civil penalty under this section.

Added by Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 8, eff. September 1, 2021.

Sec. 607.103. OFFENSES; PENALTIES. (a) A person commits an offense if the person refuses to allow an inspection of a motor fuel metering device at the merchant's place of business in violation of Section 607.055. An offense under this subsection is a Class C misdemeanor.

(b) A person commits an offense if the person negligently or recklessly disposes of a skimmer that was installed on a motor fuel unattended payment terminal or motor fuel metering device by another person. An offense under this subsection is a Class B misdemeanor.

(c) A person commits an offense if, knowing that an investigation is ongoing or that a criminal proceeding has been commenced and is pending, the person disposes of a skimmer that was installed on a motor fuel unattended payment terminal or motor fuel metering device by another person. An offense under this subsection is a felony of the third degree.

Added by Acts 2019, 86th Leg., R.S., Ch. 863 (H.B. 2945), Sec. 1, eff. September 1, 2019.

Amended by:

Acts 2021, 87th Leg., R.S., Ch. 336 (H.B. 2106), Sec. 9, eff. September 1, 2021.amended)-



~~IN THE CONCILIATION, MEDIATION & ARBITRATION COMMISSION (CMAC)~~

~~HELD AT SITEKI~~

~~REF: SIM 018/10~~

~~In the matter between:-~~

~~SUSAN MAGONGO~~ ~~APPLICANT~~
And
~~MANANGA COUNTRY CLUB~~ ~~RESPONDENT~~

CORAM:—
~~ARBITRATOR~~ ~~:~~ ~~MTHUNZI SHABANGU~~
~~FOR APPLICANT~~ ~~:~~ ~~IN PERSON~~
~~FOR RESPONDENT~~ ~~:~~ ~~Ms HILLARY MASFEN~~
~~NATURE OF DISPUTE~~ ~~:~~ ~~UNFAIR DISMISSAL~~
~~DATE OF HEARING~~ ~~:~~ ~~7TH JULY, 2010~~

~~ARBITRATION AWARD~~

~~1. DETAILS OF HEARING AND REPRESENTATION~~

- ~~1.1—The arbitration was held at CMAC offices, Simunye on the 7th July, 2010. The proceedings were captured on electronic and manual records.~~
- ~~1.2—The Applicant is Susan Magongo, an adult female Swazi of Nkambeni area, Hhohho Region.~~
- ~~1.3—The Respondent is Mananga Country Club, a body corporate conducting its business at Mananga, Hhohho region. Its postal address is P. O. Box 1, Tjaneni.~~
- ~~1.4—During the Arbitration process, the Applicant appeared personally representing herself and yet the Respondent was represented by its manageress Ms Hillary Masfen.~~

~~2. ISSUE TO BE DECIDED~~

- ~~2.1—The issue to be decided pertains whether or not the Applicant’s services with the Respondent were fairly terminated on the 2nd February, 2010.~~
- ~~2.2—Applicant claims that she was unfairly dismissed insofar as there was no disciplinary enquiry held before her dismissal, i.e. procedural unfairness.~~
- ~~2.3—She is claiming compensation for unfair dismissal.~~

~~3. BACKGROUND TO THE ISSUE~~

- ~~3.1—The Applicant was employed by the respondent~~

on the 1st October, 2009 as a cook, earning E1 681-95 per month. She was based at Mananga Country Club, at Mananga. She was dismissed on the 2nd February, 2010 through a written letter drafted by the Respondent's manageress, after having worked for the Respondent for a period of four months.

3.2—The Respondent, Mananga Country Club, is the ex-employer of the Applicant. The Respondent is involved in the business of accommodation, catering and fast foods trades. It is under the ownership of Inyoni Yami Swaziland Irrigation Scheme(IYSIS). The Respondent confirms the employment relationship between the parties, but denies that the Applicant was unfairly dismissed. It alleges that there was no need to hold a disciplinary hearing as the applicant had unlawfully absented herself from duty for four consecutive days.

4. SURVEY OF EVIDENCE AND ARGUMENTS

The Applicant's Version:

4.1—Under oath, the Applicant testified that she is aged 41 years. She is a single parent for one child(22). She is a professional or qualified cook as she possesses a certificate in Hotel and Catering obtained from the Swaziland College of Technology (SCOT).

4.2—The Applicant gave evidence as to how she did not report for duty for a period of four consecutive days, beginning from the 28th January, 2010 up to and including the 31st January, 2010.

4.3—She says on waking up on the 28th January, 2010 she observed that her left eye was swollen. She called on her immediate neighbour and co-worker, one Nompumelelo Dlamini, to inspect the eye with a view of ascertaining the cause of the infection. Nompumelelo could not be successful in getting to the cause of the bulging of the eye. The latter subsequently left the Applicant and

reported for work.

4.4 The Applicant decided to report at Hospital for treatment. She went to Matsenjeni Health Center where she was examined, treated and given some three (3) days off duty. She produced a sick sheet to that effect annexed on the Report of Dispute Form bearing the hospital's official stamp and signed by a doctor.

4.5 According to the sick sheet, the three days off duty was with effect from the 28th January, 2010; which means the Applicant had to report for work on the 31st January, 2010. The Applicant argued that inasmuch as she did not report for work Sunday the 31st January, 2010, she was going to apply for that day to be incorporated into her official leave days.

4.6 The Applicant testified that on Mondays she is usually off duty and that before she could get to work on Tuesday the 2nd February, 2010 she met her co-worker, Nompumelelo Dlamini, who gave her a letter from her employer. This happened to be the very letter that set these unfair dismissal proceedings in motion.

4.7 The Applicant is aggrieved with the manner her services were terminated insofar as she was not afforded an opportunity to explain her absence from work and is thus crying procedural unfairness of the dismissal.

4.8 She testified that Ms Hillary, the Respondent's Manageress, got know that the Applicant was in fact in possession of some sick sheet on the 17th February, 2010 when she even made copies thereof.

The Respondent's Version;

4.9 Ms Hillary Masfen who gave evidence for and on behalf of the Respondent as its Manageress, confirmed the employment contract between the parties. She further confirmed the Applicant's job designation, her monthly wage as well as the fact

of her dismissal. She confirmed being the author of the dismissal letter dated 2nd February, 2010.

4.10 Ms Masfen confirmed that the Applicant was dismissed for an unreported absence from work for four consecutive days spanning from the 28th to the 31st January, 2010.

4.11 She sought to justify the failure to subject the Applicant to disciplinary proceedings in lieu of the dismissal by arguing that she was under the impression that an employer is absolved from the need to hold a disciplinary enquiry in respect of an employee who absents herself without explanation for three consecutive days. Ms Masfen argued that there is, in fact, a legal gazette to this effect and undertook to furnish me with same in due course, but failed to bring it.

5. ANALYSIS OF THE EVIDENCE AND ARGUMENTS

5.1 When dismissed the Applicant had completed her three months probationary period. She was thus an employee to whom section 35 of the Employment Act, 1980 applied which demands that she could only be dismissed for one of the fair reasons of termination of employment tabulated in Section 36 of the Employment Act.

5.2 Consequently in terms of Section 42 (2) of the Employment Act, the duty or onus of proving that the Applicant's services were fairly terminated was upon the employer. It is now left to be seen if the employer has been able to discharge this onus on a balance of probabilities, i.e. by tendering evidence that is more probable or believable than that of the applicant.

5.3 Section 36 (f) of the Employment Act provides that it shall be fair for an employer to terminate the services of an employee:

"(f) because the employee has absented himself from work for more than a total of three working days without either the permission of the employer or a certificate signed by a medical practitioner certifying

~~**that he was unfit for work on those occasions.”**~~ (My emphasis)

5.4 ~~In this case, it is common cause that the Applicant had not obtained any prior permission from the Respondent for the absence. Therefore this absence falls within the second category, which requires that the Applicant had to provide a medical certificate to justify her absence. The Applicant was, however, deprived of the right to defend or explain her absence in that she was dismissed without having been afforded an opportunity to be heard. This fact is also common cause.~~

5.5 ~~Denying the Applicant an opportunity to be heard in a disciplinary hearing offended against the principle of natural justice of *audi alteram partem* — which literally means hear the other side. This is a well established principle in our law and has been followed consistently by the Industrial Court.~~

5.6 ~~For instance, in the decided case of **Mphikeleli Sifani Shongwe vs The Principal Secretary, Ministry of Education and 3 Others** — **Industrial Court Case No: 207/2006** (unreported) the Industrial Court held as follows:~~

~~**“It is now a well-established principle of labour relations that an employee who faces dismissal for alleged misconduct should be given the opportunity to state his case and to answer the charges against him. The requirement of a fair disciplinary hearing is so fundamental in the context of labour relations that it will be enforced by the Industrial Court as a matter of policy, even where the case against the employee appears to be unanswerable.”**~~ (at page 8 thereof, paragraph 27)

5.7 ~~In **Phillip Tsabedze vs. Swaziland Breweries Limited t/a Swaziland Beverages, Industrial Court Case No: 99/2003** (unreported), where an employee had been absent from work from~~

mid June, 2002 till he was served with a letter of dismissal on the 9th October, 2002 (about four months absence) the court held that :

~~"It was clearly unprocedural for the Respondent to simply serve the Applicant with a letter of dismissal accusing him of desertion without first laying a charge against the Applicant whose whereabouts were known to the Respondent. Even in situations where management is convinced of the guilt of the employee, it is still obliged to ensure that a fair disciplinary process is observed."~~

5.8—In the case of **~~Alpheous Thobela Dlamini vs Dalerue Agricultural Holdings (PTY) Ltd, Industrial Court Case No: 123/2005~~** the Court observed that:

~~"An employee who is dismissed without a fair disciplinary process is likely to feel aggrieved, no matter how fair and reasonable the grounds may be for his dismissal. His fellow employees may perceive the dismissal as arbitrary. Such dismissals reinforce the perception of the subordination of labour to the whims of management. They create discontent and disharmony at the workplace, and spawn unnecessary labour disputes and litigation."~~

5.9—It is therefore clear that violation of the rules of natural justice makes the decisions void for being outside the jurisdiction of the decision making authority. **~~"An Administration act must be subject to the requirements of natural justice because it affects rights or interests and therefore involves a duty to act judiciously."~~** Refer to **~~Futhi P. Dlamini vs Teaching Service Commission and 3 others, Case No: 34/2002 (IC)~~** (unreported) (at page 6 thereof).

See also: **~~Swaziland United Bakeries vs Armstrong Dlamini, Appeal case No: 117/94;~~**

**~~Nkosinathi Ndzimandze and Another vs
Ubombo Sugar Limited, Case No: 476/2005
(IC).~~**

~~5.10 In the foregoing regard, a finding is hereby made to the effect that the Applicant's dismissal was procedurally unfair.~~

~~5.11 The Applicant is not seeking re-instatement. Section 16 (4) Of the Industrial Relations act, 2000 (as amended) provides that:~~

~~"If a dismissal is unfair only because the employer did not follow a fair procedure, compensation payable may be varied as the Court deems just and equitable..."~~ (My emphasis).

~~5.12 The Applicant is a qualified cook; she is only 41 years of age and has a 22 year old child. When dismissed she was in possession of a medical certificate to justify her absence from work for the first three days, with the exception of the fourth day. She perhaps could have been found guilty for the fourth day if a disciplinary hearing had been held, but that conviction could not have culminated to a dismissal in terms of section 36 (f) of the Employment Act, 1980. She had not committed any act of misconduct to warrant the unprecedented termination of her employment contract. Her employment record has now been tainted with the stigma of this dismissal.~~

~~5.13 In the circumstances, I consider that eight months' salary amounting to E13 455-60 would constitute a fair and equitable compensation for this unfair dismissal.~~

6. AWARD

~~6.1 In the premises, I make the following order:~~

~~6.2 The applicant's services were unfairly terminated by the Respondent, for want of a pre-dismissal disciplinary hearing.~~

~~6.3 The Respondent is ordered to pay the Applicant the following monies:-~~

~~a) Notice pay = E1 681.95~~
~~b) Outstanding leave pay (As per agreement during pre arbitration)= E 795-00~~
~~c) 8 Months compensation for unfair dismissal= E13 455-60~~
~~TOTAL = E15 932-65~~

~~6.4 The above sum of E15 932-65 should be paid at CMAC Simunye office on or before the 30th September, 2010.~~

~~6.5 I make no order as to costs.~~

~~DATED AT SIMUNYE THIS.....DAY OF AUGUST, 2010:~~

~~MTHUNZI SHABANGU~~
~~COMMISSIONER-CMAC~~